

Ref No:
Time: 60 min
Marks: 50

Student Info	
StudentID:	
Center:	OPKST
ExamDate:	

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Question No: 1 (Marks: 1) - Please choose one

Profit + Expenses= _____ Net

- ▶ Liabilities
- ▶ Assets
- ▶ Capital
- ▶ Income

Question No: 2 (Marks: 1) - Please choose one

Which of the following fixed asset is shown at cost rather than book value?

- ▶ Machinery
- ▶ Furniture
- ▶ Vehicles
- ▶ Land

Question No: 3 (Marks: 1) - Please choose one

Firms charge depreciation each year:

- ▶ To ensure there is enough money in the firm to replace the asset
- ▶ To spread the cost of the asset over its working life
- ▶ To reduce the profit and thus reduce the dividends they can pay to share holders
- ▶ Because the law states they must be reduced

Question No: 4 (Marks: 1) - Please choose one

Depreciation arises because of:

- ▶ Fall in the market value of an asset
- ▶ Fall in the value of money
- ▶ Physical wear and tear
- ▶ All of the given options

Question No: 5 (Marks: 1) - Please choose one

_____ The basic purpose of depreciation is to achieve the:

- ▶ Matching principle
- ▶ Dual aspect principle
- ▶ Separate entity concept
- ▶ Money measurement concept

Question No: 6 (Marks: 1) - Please choose one

Find
out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

- ▶ Rs. 22,000 owner's equity
- ▶ Rs. 23, 000 owner's equity
- ▶ Rs. 24,000 owner's equity
- ▶ Rs. 46,000 owner's equity

Question No: 7 (Marks: 1) - Please choose one

If a
business pays rent in advance for 12 months, it will be treated as:

- ▶ Prepaid expenses of business
- ▶ Long term liability of business
- ▶ Fixed assets of business
- ▶ Current liability of business

Question No: 8 (Marks: 1) - Please choose one

While adjusting the cash balance of cash book, which of the following is **NOT** taken into account.

- ▶ Mistakes in the cash book
- ▶ Mistakes in the pass book
- ▶ Interest credited in the pass book but not entered in cash book
- ▶ Interest debited in the pass book but not entered in cash book

Question No: 9 (Marks: 1) - Please choose one

If
you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

- ▶ Any cheque drawn to creditor but not paid by bank
- ▶ Interest credited by the bank in pass book
- ▶ Cheque deposited but not credited by the bank
- ▶ Dividend collected by bank on behalf of the customer

Question No: 10 (Marks: 1) - Please choose one

The
main goal of Bank Reconciliation Statement is to determine:

- ▶ If the discrepancy is due to error rather than timing
- ▶ If the discrepancy is due to timing rather than error
- ▶ If the discrepancy is due to error rather than amount
- ▶ If the discrepancy is due to amount rather than timing

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about Capital Expenditure?

- ▶ Creates future benefits
- ▶ Incurred to acquire fixed assets
- ▶ Incurred to increase the economic life of existing fixed assets
- ▶ Reduce the profit of the concern

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ▶ Rs.260
- ▶ Rs.232
- ▶ Rs.284
- ▶ Rs.268

Question No: 13 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ▶ Rs. 1,225
- ▶ Rs. 1,015
- ▶ Rs. 965

► Rs. 905

Question No: 14 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5 th year	Rs.75,000
profit or loss on disposal of fixed assets	?

- Rs.25, 000 loss
- Rs. 75,000 loss
- Rs. 15,000 profit
- Rs. 1, 00,000 profit

Question No: 15 (Marks: 1) - Please choose one

_____ The products that are ready for sale are known as:

- Raw material
- Work in process
- Finished goods
- Closing stock

Question No: 16 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

- Stock account
- Cash account
- Supplier account
- Work in process account

Question No: 17 (Marks: 1) - Please choose one

Partially completed products that are not yet ready for sale are known as:

- Raw material
- Work in process
- Finished goods
- Closing stock

Question No: 18 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a cash receipt voucher?

- 1) Name of the organization
- 2) Cash code
- 3) Date of transaction

- ▶ (1) & (2) only
- ▶ (1) & (3) only
- ▶ (2) & (3) only
- ▶ (1), (2) & (3)

Question No: 19 (Marks: 1) - Please choose one

_____ In which of the following condition a company will have positive working capital?

- ▶ If current assets > current liabilities
- ▶ If current Assets < current Liabilities
- ▶ If current assets = current liabilities
- ▶ If current assets $\leq$ current liabilities

Question No: 20 (Marks: 1) - Please choose one

_____ The return of goods by a customer should be debited to:

- ▶ Customer's account
- ▶ Sales return account
- ▶ Goods account
- ▶ Accounts receivable

Question No: 21 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

- ▶ Furniture account
- ▶ Cash account
- ▶ Business account
- ▶ Bank account

Question No: 22 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- ▶ Vehicle account
- ▶ Cash account

- ▶ Business account
- ▶ Bank account

Question No: 23 (Marks: 1) - Please choose one

Identify the business transaction for given entry below.

Vehicle Account XXX (Dr.)
Bank Account XXX (Cr.)

- ▶ Paid for vehicle through cheque
- ▶ Paid for vehicle through cash
- ▶ Purchased vehicle on credit
- ▶ None of the given options

Question No: 24 (Marks: 1) - Please choose one

Accrued expenses are the example of:

- ▶ Current liabilities
- ▶ Long term liabilities
- ▶ Deferred costs
- ▶ Capital expenses

Question No: 25 (Marks: 1) - Please choose one

Which of the following item will appear on the Balance Sheet as current assets?

- ▶ Prepaid expenses
- ▶ Accrued expenses
- ▶ Furniture and Equipment
- ▶ Unearned revenue

Question No: 26 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

- ▶ Profit & Loss Account
- ▶ Cash Flow Statement
- ▶ Balance Sheet
- ▶ Income & Expenditure Account

Question No: 27 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

- ▶ Public libraries
- ▶ NGOs

- ▶ Labor unions
- ▶ All of the given options

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

- ▶ General Ledger
- ▶ Balance Sheet
- ▶ Profit and Loss Account
- ▶ Cash Flow Statement

Question No: 29 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

- ▶ Profit & Loss account
- ▶ Income & Expenditure account
- ▶ Receipts & Payments account
- ▶ Balance Sheet

Question No: 30 (Marks: 1) - Please choose one

Which of the following financial statement summarizes the profitability of an organization for a particular period?

- ▶ Balance Sheet
- ▶ Trading and Profit & Loss account
- ▶ Cash Flow Statement
- ▶ Statement of Retained Earnings

Question No: 31 (Marks: 1) - Please choose one

The process of transferring journal entry information to the ledger is called:

- ▶ Journalizing
- ▶ Posting
- ▶ Balancing
- ▶ Analyzing

Question No: 32 (Marks: 1) - Please choose one

Which of the following are the components of General Ledger?

- 1) Title of account

- 2) Amount of transaction
- 3) Date of transaction
- ▶ (1) & (2) only
- ▶ (2) & (3) only
- ▶ (1) & (3) only
- ▶ (1), (2) & (3)

Question No: 33 (Marks: 1) - Please choose one

_____ The original book of entry, in which all vouchers are first recorded, is called:

- ▶ General Journal
- ▶ General Ledger
- ▶ Trial Balance
- ▶ Balance Sheet

Question No: 34 (Marks: 1) - Please choose one

_____ In an account, if credit side < debit side then the balance is known as:

- ▶ Negative Balance
- ▶ Debit Balance
- ▶ Positive Balance
- ▶ Credit Balance

Question No: 35 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

- ▶ Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet
- ▶ Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet
- ▶ Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet
- ▶ Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 36 (Marks: 1) - Please choose one

_____ An Asset that is **NOT** physical in nature is called _____.

- ▶ Intangible Asset
- ▶ Liquid Asset
- ▶ Current Asset
- ▶ Fixed Asset

Question No: 37 (Marks: 1) - Please choose one

What is the nature of an expense account?

- ▶ Debit
- ▶ Credit
- ▶ Revenue
- ▶ None of the given options

Question No: 38 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

- ▶ Receiving of benefits
- ▶ It has no effect on business
- ▶ Providing of benefits
- ▶ It depends upon items

Question No: 39 (Marks: 1) - Please choose one

_____ We can say that the business is in profit, when:

- ▶ Assets exceed Expenditure
- ▶ Assets exceed Liabilities
- ▶ Income exceeds Expenditure
- ▶ Income exceeds Liabilities

Question No: 40 (Marks: 1) - Please choose one

_____ An organization operating with the objective of making profit from the sale of goods or services is called:

- ▶ Transaction
- ▶ Business
- ▶ Society
- ▶ Trust

Question No: 41 (Marks: 10)

State with reasons whether the following events are transactions to Mr. Afnan's business

- 4) Mr. Afnan started business with Rs. 50,000.

- 5) Mr. Afnan bought furniture for Rs. 2,000 for business use.
- 6) Submitted a tender for goods worth Rs. 10,000.
- 7) Appointed a cashier on a salary of Rs. 2,000 per month.
- 8) Paid salary to cashier Rs. 2,000.

Use the following format to solve question.

Event	YES/NO	Reasons
<u>For example</u> Mr. Bilal took away goods worth Rs. 500 from the business for his private use.	Yes it is transaction	It changes financial position of business.